← Back to work

SMMT: HARMONi-2 clears the Keytruda bar in China; the Western question is still open

Post-WCLC review · **Outlook memo, no rating** · Price ~$17.85 (approx., 20 Sep 2026) [28] · Market cap ~$14bn

Date: 24 September 2026 · **Analyst:** Chi Leong Andy Fu

> **Disclaimer.** This note is my own personal view, written independently as an educational work sample. It is **not investment advice**, not a recommendation, and not an offer or solicitation to buy, sell or hold any security, and it carries no buy, sell or hold rating and no price target. It was not prepared for any client or employer, does not represent the views of any firm I work for or have worked for, and draws on no confidential information of any employer or client. I am not licensed by the Securities and Futures Commission (SFC) of Hong Kong for any regulated activity. Forecasts are estimates and may be wrong. Do your own research and consult a licensed adviser before making any investment decision.

Bottom line

WCLC delivered the best week of data ivonescimab has had. Akeso's HARMONi-2 became the first randomized Phase III to show an overall survival (OS) win against pembrolizumab (Keytruda) [2]. Summit's global HARMONi trial now has a survival confidence interval that no longer crosses 1 [3].

Neither result answers the question Summit's value depends on: **does the benefit hold in Western patients, with chemotherapy on board, against pembrolizumab plus chemotherapy?** Only Summit's HARMONi-3 can answer that, and its squamous cohort already missed an interim look in April [12].

After a ~44% move in 30 days [28], much of the good news appears to be in the price. The scenarios to watch into the HARMONi-3 squamous final PFS are set out in Section 4.

Company background

What Summit is. Summit Therapeutics (Nasdaq: SMMT) was founded in 2003 and is headquartered in Miami [1]. It began as an antibiotics developer. In July 2026 it sold its last legacy asset, ridinilazole, to Biossil [4], leaving a **single-asset oncology company** with no approved product and no revenue.

Chairman and co-CEO Robert Duggan controls the company with a stake near 75% [11]. Duggan previously ran Pharmacyclics and sold it to AbbVie for $21bn in 2015 [11].

The asset. Ivonescimab (SMT112 in Summit's territories, AK112 elsewhere) was engineered by China's Akeso [1]. It is a bispecific antibody that blocks two targets in one molecule: - **PD-1**, the immune checkpoint Keytruda targets, which releases the brakes on the immune response. - **VEGF**, which tumours use to grow blood vessels and to suppress immune cells.

Summit describes the four-arm (tetravalent) design as binding PD-1 more strongly where VEGF is present. That is meant to concentrate activity in tumour tissue rather than healthy tissue [1]. The investment thesis is that this could replace Keytruda-based regimens, starting in lung cancer.

The Akeso deal. Summit in-licensed ivonescimab in December 2022 for $500m upfront, in a deal worth up to $5bn [8][10]. Akeso receives low-double-digit royalties on sales [9]. Summit's territories are the US, Canada, Europe and Japan, expanded in June 2024 to Latin America, the Middle East and Africa [8]. Akeso keeps China and runs its own China-only trials. **This split matters for reading the data: Akeso's trials are in Chinese patients, while Summit's are global and include Western patients.**

Where things stand.

- **Akeso (China):** ivonescimab is approved in three indications:
- second-line EGFR-mutated NSCLC (May 2024) [1]
- first-line PD-L1-positive NSCLC as monotherapy (April 2025) [2]
- first-line squamous NSCLC (August 2026) [16]
- **Summit (its own territories):** the first US filing covers second-line EGFR-mutated NSCLC. The FDA accepted it in January 2026 and has set a decision date (PDUFA) of **14 November 2026** [1].

Across both companies there are 15 Phase III studies, 4 of them run by Summit globally [1].

SUMMIT-SPONSORED GLOBAL TRIAL	SETTING	COMPARATOR	STATUS
HARMONi	2L EGFR-mutated NSCLC	Placebo + chemo	Basis of the US filing; PDUFA 14 Nov 2026 [1]
HARMONi-3	1L NSCLC, all PD-L1 levels; 600 squamous + 1,000 non-squamous patients	Pembrolizumab + chemo	Squamous final PFS 2H26; non-squamous 1H27 [4][15]
HARMONi-7	1L NSCLC, PD-L1 ≥50%	Pembrolizumab alone	Enrolling [1]
HARMONi-GI3	1L colorectal cancer	Bevacizumab + chemo	Enrolling [1]

Other programmes include: - ILLUMINE, a head-and-neck cancer trial run by the cooperative group GORTEC [1]. - HARMONi-GU1, a Phase II/III trial in bladder cancer [16]. - Combination collaborations with Revolution Medicines and GSK [7].

Scorecard: what the new numbers say

NUMBER	READ	WHY IT MATTERS
HARMONi-2 OS HR **0.73** (95% CI 0.57–0.95), p=0.009 [2]	**Supportive**	First OS win vs Keytruda for any PD-(L)1 x VEGF bispecific. Removes the class's biggest objection.
Median OS **30.8 vs 22.6 months** (+8.2 months); 398 patients, 234 deaths [2]	**Supportive**	A large absolute gain in first-line NSCLC, from a mature dataset.
PD-L1 ≥50% subgroup HR **0.58** (0.38–0.89) [2]	**Supportive**	Strongest signal. Maps directly onto Summit's HARMONi-7 (same mono-vs-mono design).
PD-L1 1–49% subgroup HR **0.85** (0.61–1.18) [2]	**Weak**	Interval crosses 1. HARMONi-3 enrols all PD-L1 levels, so this group matters more than the headline.
Non-squamous subgroup HR **0.79** (0.55–1.14) [2]	**Weak**	Interval crosses 1. Non-squamous is HARMONi-3's larger cohort (1,000 of 1,600 patients) [15].
Squamous subgroup HR **0.65** (0.45–0.95) [2]	**Mixed**	Consistent with HARMONi-6 in China [19]. Yet the global HARMONi-3 squamous cohort missed its interim PFS [12].
Serious treatment-related AEs **29.9% vs 21.6%** [2]	**Watch**	Meaningfully more serious toxicity, partly from longer treatment (median 14 vs 10 cycles) [3]. A US prescriber will weigh this.
Discontinuations for AEs **4.1% vs 5.0%**; immune-related AEs **34.0% vs 33.7%** [2]	**Supportive**	The extra toxicity isn't forcing patients off drug, and immune toxicity matches Keytruda.
HARMONi June-26 ITT OS HR **0.76** (0.61–0.95), nominal p=0.0151 [3]	**Supportive**	The interval now excludes 1. Submitted to the FDA ahead of the PDUFA date [1].
HARMONi Western subgroup HR **0.76** (0.52–1.10) [3]	**Mixed**	Point estimate matches Asia, but on 165 patients the interval still spans 1 [1].

NUMBER	READ	WHY IT MATTERS
Both later HARMONi cuts are **ad hoc** [1]	**Bad**	The trial missed OS at its primary analysis (HR 0.79, p=0.057) [1]. Later nominal p-values can't change that statistically.

---

1. HARMONi-2: what it changes

Until September, the fair criticism of the whole class was that no PD-(L)1 x VEGF bispecific had shown a survival benefit over Keytruda. HARMONi-2 ends that. Ivonescimab alone gave patients a median 30.8 months against 22.6 months on pembrolizumab alone, and the result was statistically significant [2].

Four things follow:

- **The mechanism is validated against the right comparator.** This is no longer a PFS-only story.
- **HARMONi-7 looks materially de-risked.** It tests the same thing, ivonescimab monotherapy vs pembrolizumab monotherapy, in PD-L1 ≥50% patients, where HARMONi-2 showed its strongest effect (HR 0.58) [2].
- **The whole class re-rates, not just Summit.** Large pharma already owns rival assets:
- BMS paid $3.5bn upfront to co-develop BioNTech's PD-L1 x VEGF bispecific [26].
- Pfizer paid $1.25bn upfront for 3SBio's candidate [25].
- Merck paid $588m upfront for LaNova's LM-299 [24].
- AbbVie paid $650m upfront for RemeGen's RC148 in January 2026 [23].

HARMONi-2 is evidence for all of them. Summit's lead is time, not exclusivity. - **Partnering leverage improves.** Bloomberg reported in 2025 that AstraZeneca discussed a licence worth up to $15bn [11]. No deal was announced, but an OS win against Keytruda strengthens Summit's hand in any future talks.

2. HARMONi-2: what it doesn't change

The result is from **China only**, from an **interim analysis**, on a **secondary endpoint**, using **monotherapy**, with data generated and analysed by Akeso [3]. Each qualifier matters for Summit specifically:

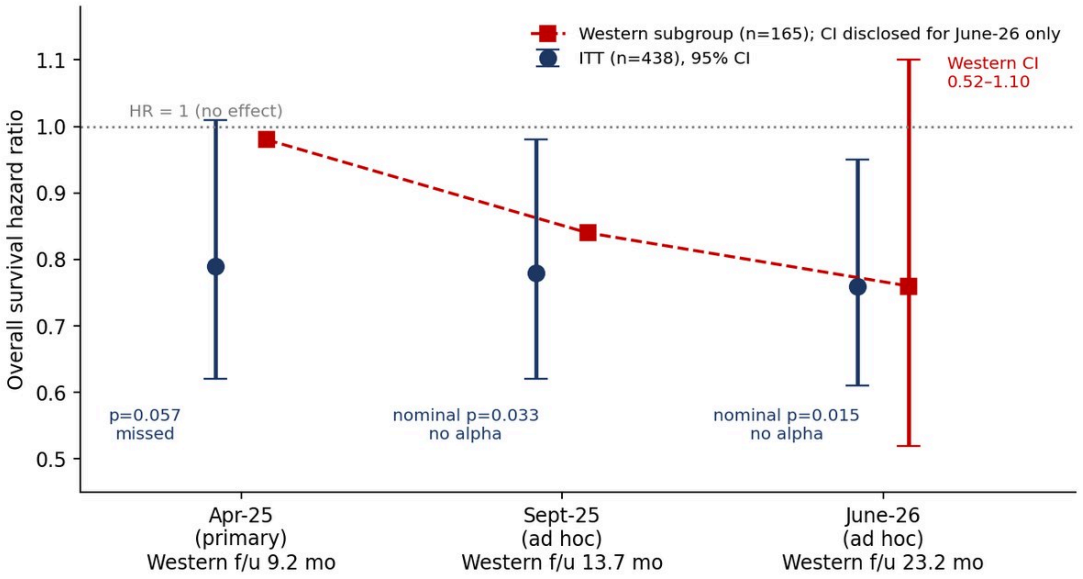
- **It can't carry a US filing on its own.** In 2022, the FDA's oncology advisory committee voted 14–1 that sintilimab needed additional trials applicable to US patients before a decision. Its application rested on a trial run only in China [31]. HARMONi-2 is supporting evidence for the FDA, not a basis for approval.
- **Monotherapy is not HARMONi-3.** HARMONi-3 adds chemotherapy to both arms [15]. Pembrolizumab plus chemotherapy is a much stronger control than pembrolizumab alone, so the room for a relative benefit shrinks.
- **The weaker subgroups are the ones HARMONi-3 depends on.** HARMONi-3 enrols all PD-L1 levels, and non-squamous is its larger cohort [15]. In HARMONi-2, both the PD-L1 1–49% and non-squamous intervals cross 1 [2].
- **Every OS win so far is Chinese:**
- HARMONi-A [20]
- HARMONi-2 [2]
- HARMONi-6 [19]
- HARMONi-GI1, in biliary cancer [17]

The only randomized Western data is HARMONi, where the survival result has improved but remains statistically unproven [1].

---

3. HARMONi: better, not finished

Exhibit 1 — HARMONi OS: the ITT interval now excludes 1, the Western interval does not



Source: Summit Therapeutics press releases (22 Jul 2026) and WCLC 2026 presentation. Asian patients locked at 32.7 mo median follow-up. Median OS 16.8 vs 14.0 mo is the ITT primary analysis (unchanged at Sept-25). Later cuts are ad hoc; no alpha was reserved.

Source: Summit press releases [1][3].

The Western hazard ratio has moved from 0.98 to 0.84 to 0.76 as follow-up lengthened from 9.2 to 23.2 months. It now matches the Asian result [1], and the full-trial interval excludes 1 [3]. That is genuinely positive for the 14 November FDA decision.

Two caveats keep it from being decisive. First, the Western interval (0.52–1.10) still includes no benefit [3]. Second, the later cuts were run after the primary analysis had missed [1], with no statistical allowance for re-testing. How the FDA weighs a clear PFS win, a narrowly missed OS endpoint and supportive but unplanned updates is the real PDUFA question.

We read this as a better approval setup than six months ago, not a certain one.

---

4. The readout that decides the stock

On 30 April, Summit disclosed that the **HARMONi-3 squamous cohort missed its interim PFS analysis** [12]. Shares opened down ~24% [13] from a prior close near $21 [14].

There are two readings:

- **Benign.** The interim bar was set very high, and Summit said so. Citi estimated only ~0.001 alpha was spent on the interim [12].
- **Less benign.** The effect is smaller outside China and against pembrolizumab plus chemotherapy.

China's squamous data are strong. HARMONi-6 showed a ~40% PFS advantage over tislelizumab plus chemotherapy [12] and a significant OS benefit [19]. HARMONi-2's squamous subgroup had an OS HR of 0.65 [2]. That makes the global miss harder to dismiss, not easier.

The base case here: a statistically significant win at the final analysis, but with a smaller effect than in China. This note expects a PFS HR nearer 0.75–0.80 than HARMONi-6's ~0.60. A benefit as large as China's would very likely have cleared even a strict interim bar.

SQUAMOUS FINAL PFS	READ	WHY
HR ≤0.70, consistent in Western patients	Clearly positive	China effect translates on a chemo backbone. Supports a large first-line opportunity.
HR ~0.75–0.85, significant	Mixed	A win, but a modest one. Commercial debate shifts to pricing against Keytruda, which loses US exclusivity in 2028 [22]. The most likely outcome in this note.
Miss, or benefit driven only by Asian sites	Clearly negative	Undercuts the translation thesis ahead of the non-squamous readout.

---

5. Balance sheet and financing

NUMBER	READ	COMMENT
Cash + ST investments **$690.7m** (30 Jun 2026), no debt [4][6]	**Tight**	The 10-Q states cash is not sufficient to fund planned operations for 12 months (going-concern language) [5].
Operating cash use **~$140m** in Q2 [6]; **$263.4m** in 1H26 [5]	**Rising**	Roughly five quarters of cash at the current rate.

NUMBER	READ	COMMENT
GAAP opex **$220.5m** in Q2, up 13% on Q1 [6]; non-GAAP **$151.8m** vs **$122.4m** in Q1 [6]	**Expected, but costly**	Driven by HARMONi-3, HARMONi-7 and HARMONi-GI3 [6], with HARMONi-GU1 still to come [16].
ATM: **$230.8m** raised in Q2, **$68.4m** after quarter-end [4], plus a new **$380m** facility [6]	**Dilutive**	Summit is funding itself by selling stock into the market. Ongoing dilution is an overhang.
October 2025 PIPE: insiders **$272m** at **$18.74**, Akeso **$10m** [27]	**Supportive**	Management bought at roughly today's price.
Duggan stake **~75%** [11]	**Double-edged**	A committed funder and stable control, but a small float amplifies moves, and any deal happens on his terms.

Financing risk is manageable but not free. Until approval or a partnership, the ATM is the funding source, and every rally doubles as a selling window.

---

6. Is the good news priced in?

Largely, yes. The stock has risen ~44% over the 30 days to ~20 September, to ~$17.85 [28]. It sits a little below the ~$21 it traded at before the April miss [14], so the market has mostly forgiven the interim result on the strength of the China data.

At ~$14bn, investors are not paying for the second-line EGFR label, which is a small population. They are paying for a meaningful chance that ivonescimab takes a large share of **first-line lung cancer from Keytruda**, a franchise that sold $31.7bn in FY2025 across all indications [21]. That outcome depends on HARMONi-3, which has not reported.

Sell-side views are split. Jefferies upgraded to Buy with a $25 target ahead of the HARMONi-3 readout [29], while Barclays remains at Hold [30].

Outlook. The data are better than they were a month ago, but the stock has moved with them, and the ATM is supplying new shares into the strength.

- **A stronger outlook** would follow a squamous final PFS HR ≤0.70 with a Western subgroup pointing the same way.
- **A weaker outlook** would follow a squamous miss, a benefit confined to Asian sites, or a CRL citing lack of significant OS.

---

7. What to watch

DATE	EVENT	GOOD WOULD BE	BAD WOULD BE
25 Oct 2026	HARMONi-GI1 (biliary) at ESMO Presidential Symposium [18]	Large OS gain vs durvalumab + chemo, clean safety: platform credibility beyond lung	Modest effect or new safety signal
14 Nov 2026	FDA decision, 2L EGFR-mutated NSCLC [1]	Approval with OS data in the label	CRL citing lack of statistically significant OS
2H 2026	HARMONi-3 squamous final PFS + interim OS [4]	HR ≤0.70, consistent in Western patients	Miss, or a win driven only by Asian sites
1H 2027	HARMONi-3 non-squamous PFS [4]	Effect close to HARMONi-2's overall result	Effect near its weak non-squamous subgroup (HR ~0.79, CI crossing 1)

References

1. Summit Therapeutics, "Ivonescimab Plus Chemotherapy Shows Consistent, Favorable Overall Survival Results in Western and Asian Patients…", press release, 22 Jul 2026. https://smmttx.com/news/press-releases/news-details/2026/Ivonescimab-Plus-Chemotherapy-Shows-Consistent-Favorable-Overall-Survival-Results-in-Western-and-Asian-Patients-in-Updated-Analysis-from-Global-Phase-III-HARMONi-Study/default.aspx

2. IASLC, "Late-Breaking HARMONi-2 Analysis Shows Ivonescimab Significantly Improves Overall Survival Versus Pembrolizumab…", WCLC 2026 press release, 12 Sep 2026. https://www.iaslc.org/iaslc-news/press-release/late-breaking-harmoni-2-analysis-shows-ivonescimab-significantly-improves
3. Summit Therapeutics, "Updated HARMONi Data Presented at WCLC 2026…", press release, Sep 2026 (via BioSpace). https://www.biospace.com/press-releases/updated-harmoni-data-presented-at-wclc-2026-demonstrate-consistent-overall-survival-results-with-ivonescimab-plus-chemotherapy-in-western-and-asian-patients
4. Summit Therapeutics, Q2 2026 financial results press release, 23 Jul 2026 (via BioSpace). https://www.biospace.com/press-releases/summit-therapeutics-reports-financial-results-and-operational-progress-for-the-second-quarter-and-six-months-ended-june-30-2026
5. Summit Therapeutics, Form 10-Q for the quarter ended 30 Jun 2026, SEC EDGAR. https://www.sec.gov/Archives/edgar/data/0001599298/000159929826000068/smmt-20260630.htm
6. Summit Therapeutics Q2 2026 earnings call transcript, Investing.com, 23 Jul 2026. https://www.investing.com/news/transcripts/earnings-call-transcript-summit-therapeutics-q2-2026-loss-widens-as-shares-fall-after-hours-93CH-4810168
7. Summit Therapeutics, Q4 and FY2025 results press release, Business Wire, 23 Feb 2026. https://www.businesswire.com/news/home/20260223856924/en
8. Summit Therapeutics, Preliminary Proxy Statement (PRE 14A), 2026, related-party transactions (Akeso licence and Second Amendment), SEC EDGAR. https://www.sec.gov/Archives/edgar/data/1599298/000159929826000021/smmt-20260406.htm
9. Summit Therapeutics, licence closing press release, Business Wire, 20 Jan 2023. https://www.businesswire.com/news/home/20230120005080/en/
10. Reuters (via Boursorama), "Summit, AstraZeneca in talks over $15 billion cancer drug licensing deal", 3 Jul 2025. https://www.boursorama.com/bourse/actualites-amp/summit-astrazeneca-en-pourparlers-pour-un-accord-de-licence-de-medicament-anticancereux-de-15-milliards-de-dollars-selon-bloomberg-news-66e0335fb0216b9c687d51e1304ea664
11. Bloomberg, "Summit Is in Talks for $15 Billion Partnership With AstraZeneca", 3 Jul 2025. https://www.bloomberg.com/news/articles/2025-07-03/summit-is-said-in-talks-for-15-billion-partnership-with-astra

12. Fierce Pharma, "Summit's PD-1xVEGF interim trial miss surprises analysts, shares tumble", 1 May 2026. https://www.fiercepharma.com/pharma/summit-pd-1vegf-interim-trial-miss-surprises-analysts-shares-tumble
13. ApexOnco, "Summit's shot at early Harmoni backfires", 5 May 2026. https://oncologypipeline.com/apexonco/summits-shot-early-harmoni-backfires
14. Tickeron, "Why Is Summit Therapeutics Inc. (SMMT) Stock Down -20% Today?", 1 May 2026. https://tickeron.com/blogs/why-is-summit-therapeutics-inc-smmt-stock-down-20-today-13023/
15. ClinicalTrials.gov NCT05899608 (HARMONi-3), trial listing. https://clinicaltrials.ucdavis.edu/trial/NCT05899608
16. Summit Therapeutics 8-K and press release index, Aug–Sep 2026 (HARMONi-GU1, 5 Aug; China squamous approval, 12 Aug), via StockTitan. https://www.stocktitan.net/sec-filings/SMMT/8-k-summit-therapeutics-inc-reports-material-event-8bd915d9b4d1.html
17. Summit Therapeutics, "Ivonescimab Plus Chemotherapy Demonstrates Statistically Significant Overall Survival Benefit Compared to Durvalumab Plus Chemotherapy in First-Line Advanced Biliary Tract Cancer…", press release, 25 Aug 2026. https://smmttx.com/news/press-releases/news-details/2026/Ivonescimab-Plus-Chemotherapy-Demonstrates-Statistically-Significant-Overall-Survival-Benefit-Compared-to-Durvalumab-Plus-Chemotherapy-in-First-Line-Advanced-Biliary-Tract-Cancer-in-Single-Region-Trial-Conducted-by-Akeso-in-China/default.aspx
18. Grafa, "Summit highlights ivonescimab Phase III cancer trial data" (HARMONi-GI1 at ESMO 2026 Presidential Symposium, 25 Oct), 22 Sep 2026. https://grafa.com/en/news/united-states/summit-therapeutics-ivonescimab-harmoni-gi1-esmo-2026
19. IntuitionLabs, "ASCO 2026: Ivonescimab HARMONi-6 Trial Results for NSCLC", 2 Jun 2026. https://intuitionlabs.ai/articles/ivonescimab-harmoni-6-asco-2026-nsclc
20. Akeso, "HARMONi Data Update Shows OS HR=0.78, Nominal P=0.0332" (includes HARMONi-A OS), 7 Sep 2025. https://www.akesobio.com/en/media/akeso-news/250907/
21. Merck & Co., Fourth-Quarter and Full-Year 2025 Financial Results, 3 Feb 2026. https://www.merck.com/?p=3680429
22. Zacks, "Merck's Keytruda Drives its 2025 Revenue Surge: What's Ahead?", 2026. https://www.zacks.com/stock/news/2878133/mercks-keytruda-drives-its-2025-revenue-

surge-whats-ahead

23. AbbVie and RemeGen, licensing press release for RC148, 12 Jan 2026. https://news.abbvie.com/2026-01-12-AbbVie-and-RemeGen-Announce-Exclusive-Licensing-Agreement-to-Develop-A-Novel-Bispecific-Antibody-for-Advanced-Solid-Tumors
24. MSD, "MSD Enters into Exclusive Global License for LM-299…", 14 Nov 2024. https://www.msd.com/?p=1243041
25. BioCentury, "In biggest licensing deal yet for a China asset, Pfizer takes rights to 3SBio's bispecific", 20 May 2025. https://www.biocentury.com/article/655979/in-biggest-licensing-deal-yet-for-a-china-asset-pfizer-takes-rights-to-3sbio-s-bispecific
26. Fierce Biotech, "Sino Biopharm buys Merck's PD-1xVEGF bispecific partner LaNova for up to $951M" (includes BMS/BioNTech terms), 2025. https://www.fiercebiotech.com/biotech/sino-biopharm-buys-merck-pd-1xvegf-bispecific-partner-lanova-951m
27. Summit Therapeutics, "Summit Therapeutics Raises $500 Million in Private Placement", 22 Oct 2025 (via 1stOncology). https://www.1stoncology.com/blog/?p=106311
28. Simply Wall St, "Summit Therapeutics (SMMT) Is Getting Fresh Attention, What Is Behind It?", Sep 2026. https://simplywall.st/stocks/us/pharmaceuticals-biotech/nasdaq-smmt/summit-therapeutics/news/summit-therapeutics-smmt-is-getting-fresh-attention-what-is
29. StockAnalysis, SMMT overview (Jefferies upgrade to Buy, $25 target). https://stockanalysis.com/stocks/smmt/
30. CNN Markets, SMMT news feed (Barclays Hold, 15 Sep 2026). https://www.cnn.com/markets/stocks/SMMT
31. The Cancer Letter, "In a 14:1 vote, ODAC nixes a PD-1 drug developed in China; data not generalizable to U.S. population", Feb 2022. https://cancerletter.com/?p=46904

Academic work sample prepared for educational purposes. Not investment advice.

© 2026 Chi Leong Andy Fu

Everything on this site is my own personal view, shared for educational purposes only. It is not investment advice, a recommendation, or an offer or solicitation to buy or sell any security, and it does not represent the views of any employer. I am not licensed by the SFC for any regulated activity.